Under the Cobblestones, the Rent

Young people priced out, France on fire, and why the West is next

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> *Sous les pavés, la plage. (Under the cobblestones, the beach.)*
> Paris graffiti, May 1968

1. Créteil to Limoges

Let me start with what happened, because the facts are worse than most of the coverage. On 17 September 2026 teachers in Créteil, a suburb southeast of Paris, walked out. Four days later the students at Lycée Antoine-de-Saint-Exupéry locked down their own school. They weren't asking for anything exotic. They wanted enough teachers, classes that fit in the room, buildings that don't leak, classrooms that don't hit 40°C in a heatwave, and an end to Parcoursup, the algorithm that decides where they go to university. Reasonable asks, every one of them.

Two weeks later it was more than a thousand schools. On 1 October police made 1,949 arrests in a single day, and the Justice Ministry said about 90% of the people held were minors. Children. On 17 October the school movement merged with a national cost-of-living march: 550,000 people by the government's count, 800,000 by the organisers'. That night the 19th-century city hall in Limoges burned. Lyon's tourist office went up. Roughly 1,500 businesses were hit, according to Carrefour's chief executive, Alexandre Bompard, who also runs the national retail federation. A police officer was killed in Nantes. By 19 October about 2,400 people were under arrest, and the protests had jumped to Belgium, Greece, Albania and Italy.

Photo



Paris, 17 October 2026: the cost-of-living march turns to looting and burning cars. [Insert a licensed photo here; see note.]

Table 1. The 2026 French unrest at a glance

Figures are official counts unless stated. Several early-October counts conflict between ministries.

Date	What happened	Source
17 Sep	Teachers' strike in Créteil	Wikipedia (2026)
21 Sep	Students blockade Lycée Saint-Exupéry; movement starts	Wikipedia (2026)
1 Oct	1,027 lycées affected; 1,949 arrests in a day, mostly minors	Interior and Justice Ministries
6 Oct	Third national day: 250,000 (government) vs 450,000 (unions)	The Conversation, via Wikipedia
17 Oct	550,000 march (ministry); Limoges city hall burns; ~1,500 businesses hit	Interior Ministry; Forbes
22-23 Oct	10-year yield hits 5.14%, highest since 2002; Moody's holds Aa3	Reuters
24 Oct	About 410,000 march; 70,000 security personnel deployed; mostly calm	AFP, via Taipei Times

Then the bond market weighed in, and the bond market doesn't care about anybody's feelings. On 22 October France's 10-year yield hit 5.14%, the highest since 2002. Moody's held the rating the next day, but only because it assumes Paris will pass a 2027 budget with €54 billion of savings. That's a big assumption about a parliament that can barely pass anything.

Here at home, everybody went straight to their corner. Trump said France had been wrecked by immigration from "a totally different world." Vance blamed Western liberals for importing "the third world." A chart went around the American right claiming France now spends a bigger share of GDP

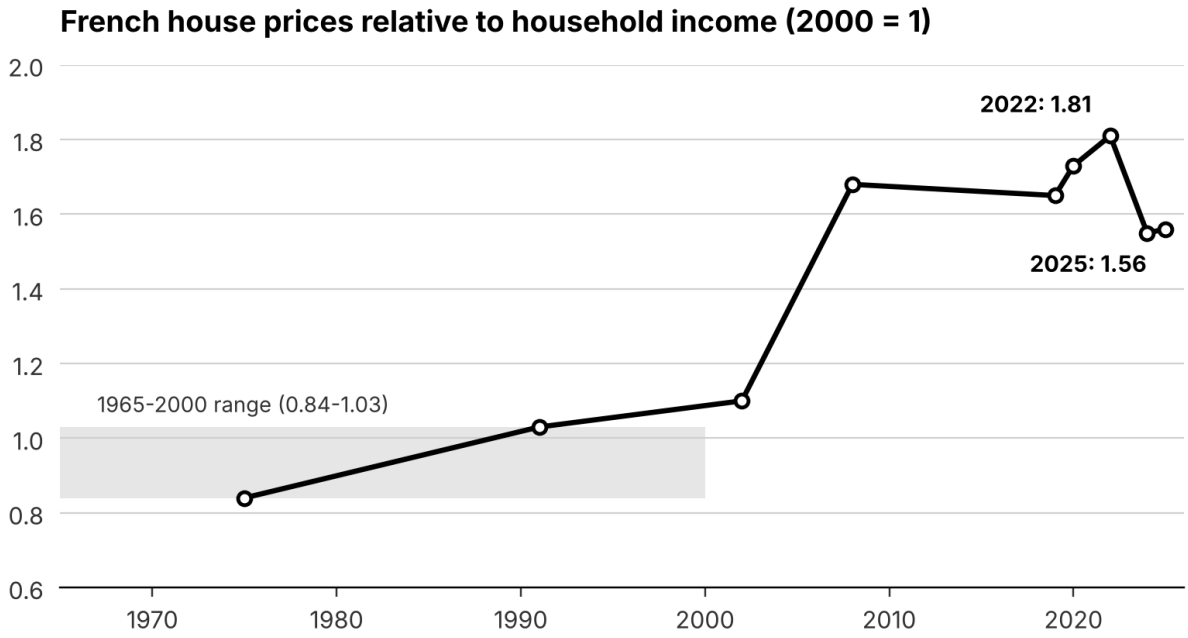
than the Soviet Union did. And the obvious rebuttal came right behind it: France already gives its kids nearly free university and healthcare. So why are they burning city halls?

Here's my answer, and I'll be blunt about it. France has built a very large state that spends most of its money on the grandparents, and now the bond market is ordering it to cut the little it spends on the grandchildren. The young figured that out. Everything below is the evidence.

2. Priced out

Start with housing, because housing is the whole ballgame. Jacques Friggit, an economist at France's environment ministry, has tracked house prices against household income since 1965. For 35 years the ratio barely moved; it stayed between 0.84 and 1.03 of its 2000 level. Then it broke. It hit 1.68 by 2008, peaked at 1.81 in 2022, and was still 1.56 in 2025, even after the ECB's rate hikes knocked prices back (Figure 1).

Figure 1



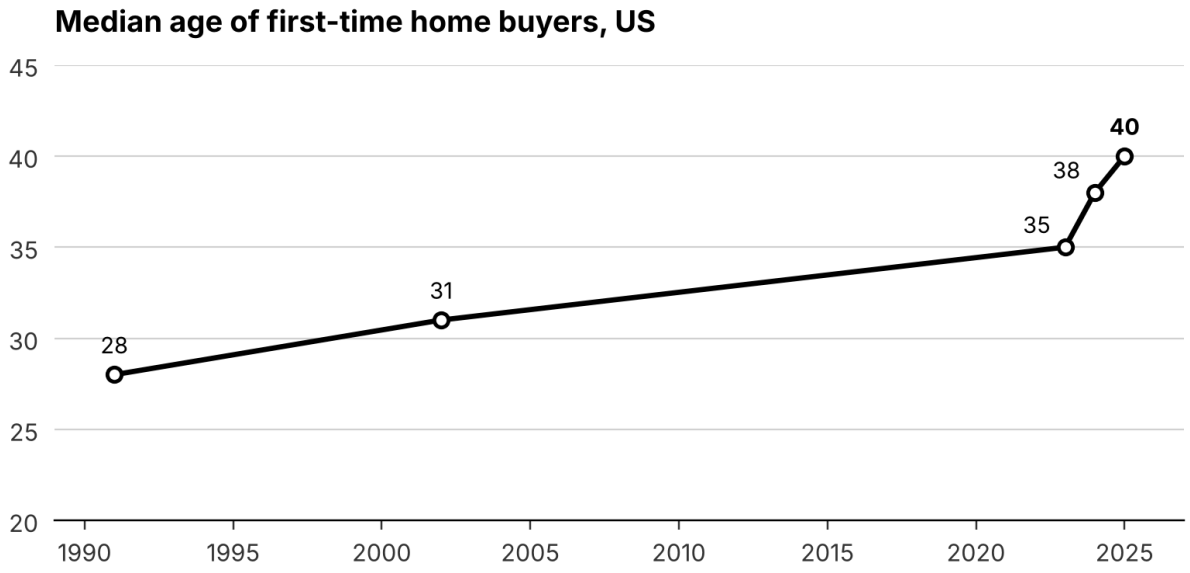
Ratio of the French house price index to disposable income per household, base 2000 = 1. Selected years shown; the shaded band is the 1965-2000 range. Source: CGEDD/IGEDD (J. Friggit), INSEE and notaries' data, extended by Eco3min.

Friggit puts it in terms any 28-year-old understands. In 2000 a first-time buyer could pay off the average home in 15 years. By mid-2024 the same home took about 25. If you owned in 2000, you got a windfall you did nothing to earn. If you were a child in 2000, you got the bill. That's a transfer from one generation to another, and nobody ever voted on it.

America isn't any better. The National Association of Realtors reported in November 2025 that the median first-time home buyer is now 40 years old. In 1991 it was 28 (Figure 2). First-time buyers were 21% of purchases, a record low; before 2008 it was about 40%. The median repeat buyer is 62.

Think about what that means. We've told an entire generation to wait until middle age to own the one asset that builds wealth in this country.

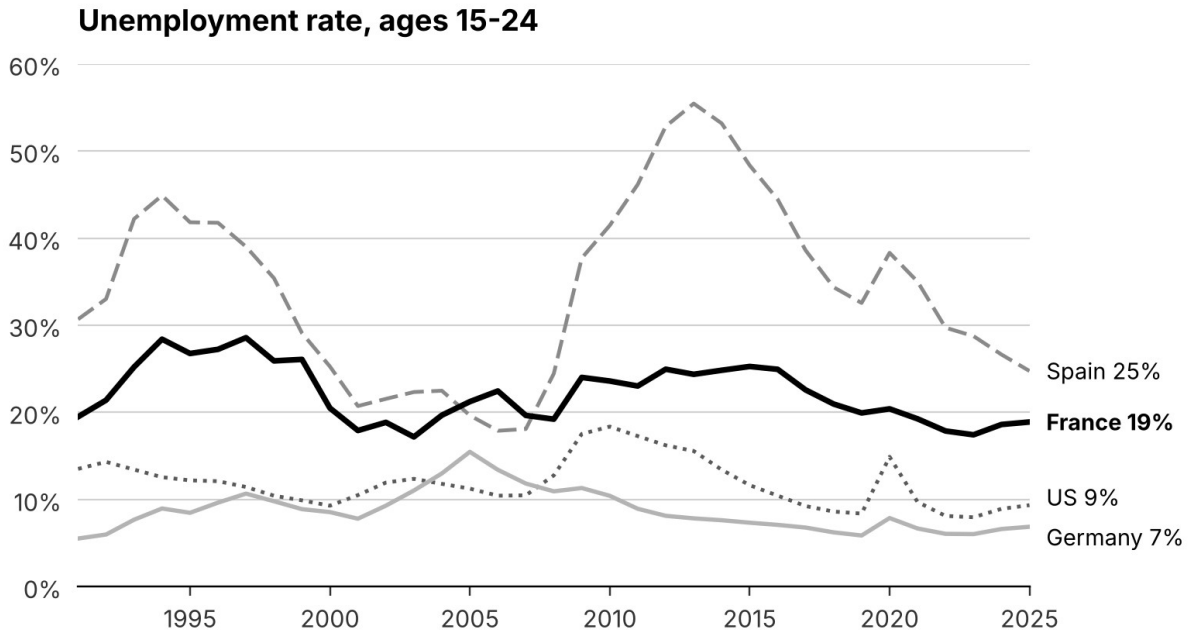
Figure 2



Median age of first-time buyers in each NAR annual survey; only years with published figures are plotted. Source: National Association of Realtors, Profile of Home Buyers and Sellers (2002, 2023, 2024, 2025 editions; 1991 as reported by NAR).

Then there's work. Youth unemployment in France (ages 15 to 24) has sat between 17% and 29% for 35 years. In 2025 it was 18.9%, against 6.9% in Germany and 9.3% in the US (Figure 3). Spain is worse, at 24.7%, but Spain has cut its rate by more than half since 2013. France hasn't moved. The reason isn't a mystery. French law makes a permanent contract so hard to unwind that employers hire young people on short contracts and keep them there; the Banque de France estimates only 10% to 20% of them land a permanent job within a year. The system protects people who already have jobs, and the young pay for it.

Figure 3



Unemployment rate, ages 15-24, ILO modelled estimates. Source: World Bank, World Development Indicators, via FRED.

Put it together. A 24-year-old in Créteil gets sorted by an algorithm, strings together three short contracts, and then borrows for 25 years to buy what his parents bought in 15. I'd be angry too. Most of that anger is about assets, and in France the assets belong to people over 50.

3. A big state, pointed at the old

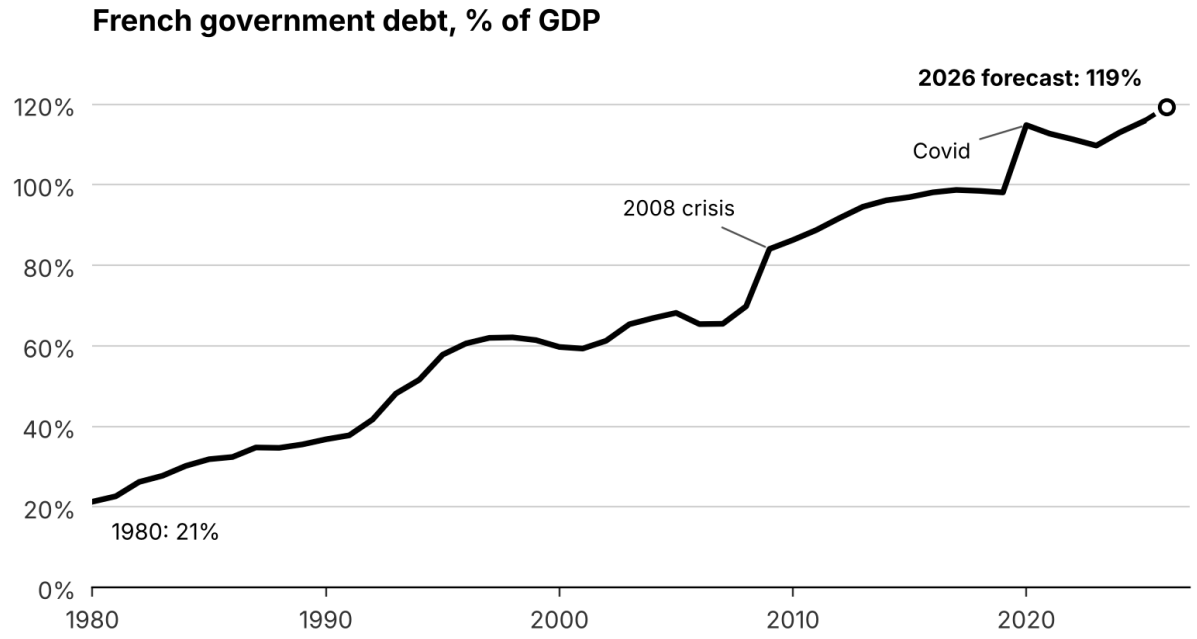
The people who say France spends too much are right on the numbers. Eurostat put public spending at 57.2% of GDP in 2025, second in the EU after Finland; the euro-area average is 49.8%. But look at where the money goes. The Banque de France broke down the extra 7.5 points: about two-thirds is social protection, and the biggest single piece is pensions, at 2.2 points above the euro-area norm. Education gets 0.4 points.

France spent 13.4% of GDP on pensions in 2019, against 10.4% in Germany, according to its pensions advisory council (COR). And it works, for retirees. People over 65 in France have a living standard equal to 97% of the national average, against 88% in Germany, and a poverty rate of 13.3% against 20.9%. Now look at the schools. Public spending on education is 5.1% of GDP by Eurostat's count, roughly the EU average and well below Sweden's 7.3%. Lower-secondary classes average 26 kids, against 23 across the OECD. Only 4% of French teachers say society values their job, the lowest share the OECD has ever recorded. That's a country telling you its priorities.

So yes, university is nearly free. That's true and mostly beside the point. A 17-year-old barely touches the health system, and university is cheap partly because it's underfunded. What a 17-year-old touches every day is a classroom with 26 kids and a boiler that doesn't work.

And the money is running out. French debt was 21% of GDP in 1980 and 60% in 2000. The finance ministry forecasts 119% for 2026 (Figure 4), with a deficit near 5.4%. Countries don't run those numbers forever without paying for it.

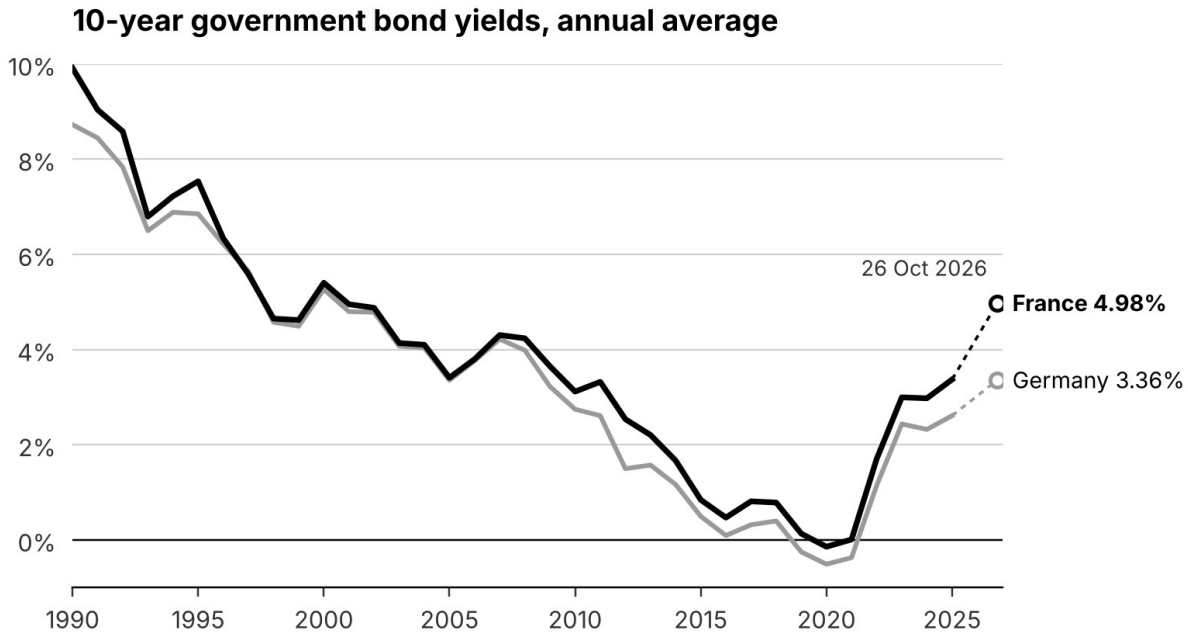
Figure 4



General government gross debt, % of GDP. Sources: IMF via FRED (1980-2023); INSEE (2024, 113.0%); French finance ministry (2025 actual, 115.7%; 2026 forecast, 119.3%).

For twenty years none of it mattered, because money was free. France's 10-year yield averaged below 1% from 2015 to 2021. It averaged 3.4% in 2025 and was just under 5% on 26 October, with the spread over Germany the widest since the euro crisis (Figure 5). As the cheap debt rolls over at these rates, interest eats the budget, and every euro of interest is a euro that doesn't go to a classroom. Anyone who thought rates would stay near zero forever was kidding themselves.

Figure 5



Long-term (10-year) government bond yields, annual averages, 1990-2025, with the closing yield on 26 October 2026 marked. Sources: OECD via FRED; Reuters (26 October 2026).

When the cut comes, it lands on whoever can't fight back. Pensioners vote. The last government that touched them, raising the retirement age from 62 to 64 in 2023, got months of strikes for its trouble. High school students mostly can't vote. That's why a fiscal crisis in a pension state shows up first as a school crisis. It's that simple.

4. Why socialism sounds right at 25

I don't like socialism. It has failed every time it's been tried at scale. But I understand why it sells. If you're 25, paying half your income in rent and bouncing between short contracts, "the market" looks like the thing that priced you out, and the state looks like the only thing big enough to fix it. From where that kid sits, moving left is rational, even if the policy that follows is wrong. That's why young people drift left even where the state already takes 57% of GDP.

The American numbers should scare anyone who believes in free enterprise (Table 2). In 2010, 68% of Americans aged 18 to 29 had a positive view of capitalism. By 2018 it was 45%, while socialism held at 51%. By 2025 only 31% of Democrats under 50 viewed capitalism positively, down from 54% in 2010, and 66% of all Democrats viewed socialism positively. That's a collapse in confidence in the system that built this country, and business leaders earned some of it.

Table 2. Gallup: positive views of capitalism and socialism

Source: Gallup (2018, 2025), as reported by Truthdig and Fortune. Gallup did not publish a comparable 18-29 figure in 2025.

Group	2010	2018	2025
Ages 18-29: capitalism	68%	45%	n/a
Ages 18-29: socialism	51%	51%	n/a
Democrats under 50: capitalism	54%	n/a	31%
All Democrats: socialism	n/a	57%	66%
All US adults: capitalism	61%	n/a	54%

Most of these kids don't want the Soviet Union. When young Americans say socialism, they usually mean Denmark: cheap college, healthcare that won't bankrupt you, an apartment you can afford. Housing ties it together. Somebody who can't own anything has no reason to defend a system built around owning things. Every year the first-time buyer gets older, capitalism loses more of its defenders.

5. Where the big-state argument breaks

The big-state argument goes like this: France spends more than the Soviets did, so it's socialist; socialism kills incentives; services rot; people riot and demand even more government. Parts of that are right. Parts of it are lazy.

The Soviet comparison is lazy. In a planned economy nearly all output is state output, so "public spending as a share of GDP" doesn't measure the same thing. It's a good clip and a bad statistic.

Finland is the bigger problem for that story. Finland spent 57.5% of GDP in 2025, more than France. Austria spent 55.2%, Belgium 54.2%. Nobody is burning down Helsinki. Now look at where the 2026 unrest spread (Table 3). Belgium, Italy and Greece all carry debt above 100% of GDP. Finland, Austria and the Nordics are well below it. Spain, at 100.7%, is the exception, and it cuts against me. Still, the riots tracked the debt much more closely than the spending.

Table 3. Public spending, debt and unrest in Europe, 2025

Sources: Eurostat government finance statistics (April 2026 release); unrest from press reports compiled in Wikipedia (2026). Spain is the exception on debt.

Country	Spending (% GDP)	Debt (% GDP)	2026 unrest
Finland	57.5	88.5	None reported
France	57.2	115.6	Nationwide riots
Austria	55.2	81.5	None reported
Belgium	54.2	107.9	Clashes in Liège and Brussels
Italy	51.2	137.1	Riots in Milan, protests nationwide
Germany	50.5	63.5	None reported
Greece	48.3	146.1	Athens protests over student housing
Denmark	48.0	27.9	None reported
Spain	45.3	100.7	None reported

The research backs this up. Jacopo Ponticelli and Hans-Joachim Voth studied European countries from 1919 to 2008 and found "a clear correlation between fiscal retrenchment and instability." Spending cuts drove protests; tax increases had "only small and insignificant effects." Governments that triggered unrest usually reversed course fast, which is why so many of them flinch. Funke, Schularick and Trebesch found that in the five years after a financial crisis, violent riots roughly double and anti-government demonstrations nearly triple.

So both camps are half right, and France is where the halves meet. A government spent thirty years buying calm with borrowed money and built a system that only works while the money keeps coming. Now the bond market is turning off the tap, and Ponticelli and Voth tell you exactly why that moment gets violent. The critics are right about growth: France isn't growing fast enough to outrun its debt, and the bond market is the only force left with the leverage to make Paris face that.

Where the critics overreach is immigration as the answer to everything. The French government blamed the far left. Trump and Vance blamed immigrants. France doesn't record ethnicity in arrest data, so nobody can settle that with numbers yet. A viral clip of a man saying "the Chinese have become too rich" is real and ugly, and if Asian-owned shops were singled out, that's a hate crime and it should be prosecuted as one. But the reporting so far doesn't show a pattern, and this whole thing started with teenagers in Créteil complaining about a 40°C classroom.

6. Gen Z on four continents

France is just the richest country this has happened to so far. Since mid-2024, youth-led protests have brought down or cornered governments in countries that have almost nothing in common except a young population and a government that ran out of money.

The triggers in Table 4 look random: a tax bill, a job quota, a perk for politicians, an app ban, a blackout, a soccer stadium. The pattern underneath doesn't change. A big young generation is locked

out of jobs and assets, it can see the people at the top doing fine, and then the government takes something from the young to protect somebody else. Kenya is the cleanest case. The Finance Bill was written to keep up with debt payments, and young Kenyans stormed parliament over it. That's France with a younger population and less money.

Table 4. The Gen Z protest wave, 2024-2026

Sources: AFP via Khaleej Times (2025); Wikipedia (2026); press reports.

Country	When	Trigger	Outcome
Kenya	Jun 2024	Finance Bill raising taxes to meet debt payments	Parliament stormed; bill withdrawn
Bangladesh	Jul-Aug 2024	Quotas for government jobs	Prime Minister Sheikh Hasina fled
Indonesia	Aug 2025	Housing allowance for MPs amid low wages	Finance minister replaced
Nepal	Sep 2025	Social-media ban; "nepo kids" anger	Government fell; interim PM chosen partly via Discord
Madagascar	Sep-Oct 2025	Water and power cuts	President fled; army took power
Morocco	Sep-Oct 2025	Hospitals underfunded while stadiums are built	Reform pledges; 2,400+ prosecuted
Peru	Sep-Oct 2025	Pension law forcing young workers into private funds	President removed by Congress
France	Sep-Oct 2026	School conditions, then cost of living	Unresolved; spread to four countries

7. The correlation, stated plainly

Here's how I see it, in three parts.

Exclusion is the fuel. When young people are priced out of housing, stuck in temporary jobs and holding a shrinking share of the nation's wealth, you get a growing pool of people with nothing to lose. The socialism polls are your early-warning system. They tell you how many people have decided the market will never let them in.

A visible villain is the oxygen. In Nepal it was politicians' kids posting vacations on Instagram. In France it's a pension system that keeps retirees as comfortable as workers while the school roof leaks. At its worst the anger hits whoever looks successful, which is how a family-owned shop gets looted the same night as a Céline boutique.

A forced cut is the spark. Unrest breaks out when a government has to tighten, and the cut lands on the young because the old vote. Ponticelli and Voth found it across ninety years of European history. Kenya and France are this decade's proof.

On this view, the size of the state matters mainly through the third part. A big state that's solvent and spends on its young, like Finland or Denmark, stays calm. A big state that's borrowing heavily and

spends on its old, like France or Italy, is in trouble. A poor state with a huge youth population and no money at all, like Kenya or Madagascar, is in the most trouble.

There's a hole in this, and you should know where it is. Exclusion has been high in France for thirty years. Youth unemployment was higher in 1997 than it is today, and France had youth riots in 2005, mass protests against the CPE youth contract in 2006, and riots in 2023 after police shot 17-year-old Nahel Merzouk. So the fuel alone doesn't tell you when. What changed in 2026 is the bond market. I think that's why this round crossed borders, but one episode doesn't prove it.

8. Chicago, the American version

Don't think this can't happen here. The US has the fuel and the polling. First-time buyers are 40. Young Democrats have soured on capitalism faster than any group Gallup tracks. The federal deficit was about 6% of GDP in fiscal 2025, according to the CBO. That's wider than France's.

If you want to see the French setup on American soil, go to Chicago. The city owes $36.4 billion to its four pension funds. It spends close to $2 billion a year on debt service, about 15% of its budget. It faces an $882 million gap for 2027, and its own forecast shows that passing $1 billion by 2029. In February 2026 Fitch and KBRA both cut its rating to BBB+, citing deficits every year since 2023 and a habit of plugging holes with one-time money. The schools are at the bottom of the pile: Chicago Public Schools stays near balance only because City Hall keeps handing it leftover tax-increment (TIF) money, $550 million in 2026 alone. Call it what it is: a bridge loan to nowhere.

Mayor Brandon Johnson, a former Chicago Teachers Union organizer, has answered with taxes. His proposed $17.6 billion budget for 2027 adds $427 million in new taxes and fees, including a $300-a-year head tax on every employee at companies with more than 125 people and a higher tax on cloud software. It's the French reflex: when the government runs short, take more from whoever still has money and protect whatever spending has the loudest lobby. That works right up until the people with money leave. In Chicago they only have to drive to the suburbs.

Chicago has also seen what comes next. Downtown was looted twice in the summer of 2020: first in late May during the George Floyd protests, then again on 10 August, when crowds tore through the Magnificent Mile, the Loop and the Gold Coast after a police shooting in Englewood. More than 100 people were arrested that night and 13 officers were hurt. Hours later Ariel Atkins, an organizer with Black Lives Matter Chicago, stood outside a police station and said: "I don't care if someone decides to loot a Gucci or a Macy's or a Nike store, because that makes sure that person eats." Within days she was calling it "reparations." That same year Johnson, then a Cook County commissioner, called defunding the police "an actual, real political goal." And this month in France, the LFI mayor of Saint-Denis was referred to prosecutors for saying violence can sometimes be legitimate.

Take that seriously. For a slice of the left's organizers and officeholders, the riot is a political tool, a way to force a transfer they can't win at the ballot box, and Atkins said so out loud. Most people who call themselves socialists, and most Chicagoans who voted for Johnson, don't want their own block looted, and Johnson walked his comment back in 2023 ("I said it was a political goal. I never said it

was mine"). Fine. But every time a movement's leaders excuse the street, the street hears permission. Looting is a crime. Leaders who excuse it are part of the problem.

What America has, and France and Chicago don't, is growth. Right now a lot of that growth comes from the AI build-out. Growth lets a country run big deficits without the bond market forcing cuts. If AI spending slows, that cushion disappears, and Washington faces the same choice Paris faces today: cut what the young use, or take something from the people who own the assets. We should make that choice now, on our terms, instead of letting the bond market make it for us.

9. Concluding thoughts

Riots track two things: how many young people believe the system has nothing for them, and how fast the state is forced to take away what little it gives them. France maxed out both at the same time.

The fixes are obvious, and the politics are brutal. Here's where I'd start. **One:** build housing. Kill the permitting and zoning rules that keep supply short, in Paris and in Chicago. **Two:** open the job market to the young. Make it cheaper to offer a permanent contract, so a 24-year-old isn't stuck on temp work for a decade. **Three:** rebalance the budget from the old to the young. Move pensions toward individual accounts, slow how fast benefits grow, and put the savings into schools. **Four:** stop excusing violence, from any side, and prosecute it. Every one of these moves money and opportunity from people who already have assets to people who don't, which is the opposite of what austerity usually does. The honest version of the deal is that today's owners take a hit so the next generation can get in. No politician in Paris, Chicago or Washington will say that before an election. Somebody should.

May '68 started at Nanterre over dormitory rules and ended with millions of workers on strike. De Gaulle survived it, then lost a referendum the next April and resigned. The students' slogan promised a beach under the cobblestones. This generation dug and found the rent, and the people who own the building still decide whether the next budget cuts the school.

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